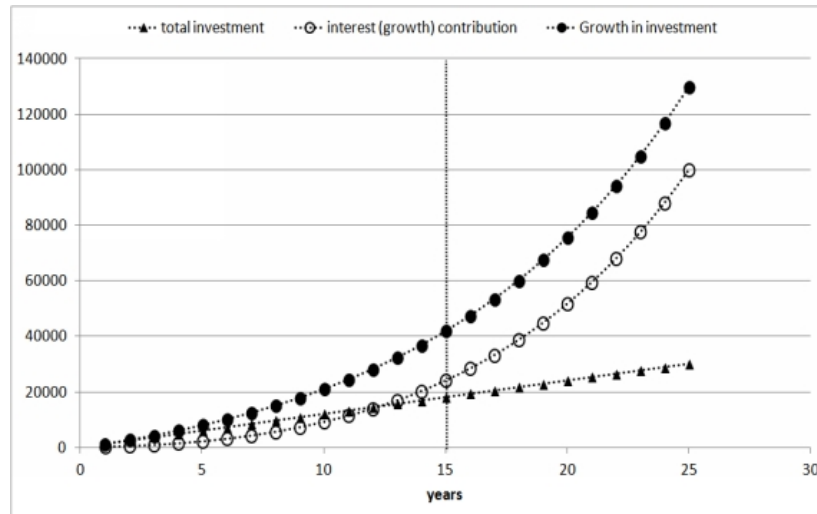




Looking at the graph, the first 15 years bring about no magic. It's easier to get dismayed at the lack of improvements in the bottom line. 15 years on a graph is viewed in an instant but during this period, expenses grow wherein it's easier to go on that big Europe trip than wait for money to accumulate. To be fair, it doesn't help that most of our big expenditures (home, car) occur early and it's easier to spend and figure out things as they come. Personal finance people like to advice to not buy that car but who are we kidding? We can delay it by a year or two but we know it's coming. In contrast, if we could delay big purchases, the saving increments add up to form a bigger corpus after the 15 year threshold.

Reason #3: Social norms

The people I knew, on getting an IT job after graduation even though they didn't have the slightest conviction that they were worthy of a job offer, were all too suddenly sure of what their future entailed in relation to money. And it wasn't because they had studied economics related to Nehru's staunch socialism or realized how India opened FDI post 1993. It was because they had parents whispering the things they ought to do, to be a success.

When most of us start earning money, we figure out '*how to spend*' only after we've dispensed quite a lot. Although we aren't ready to make the best use of money, we are, in a funny way left into the wilderness with half-